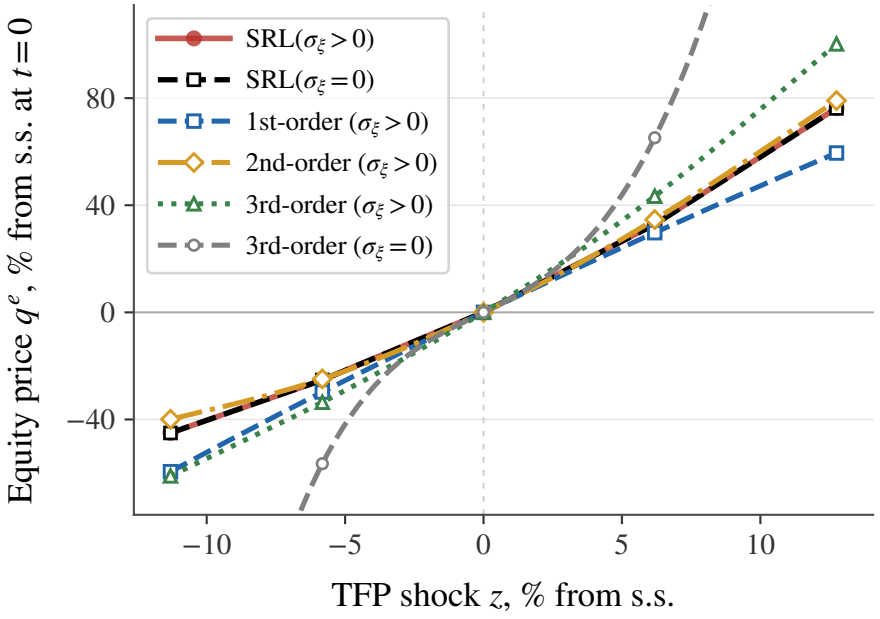
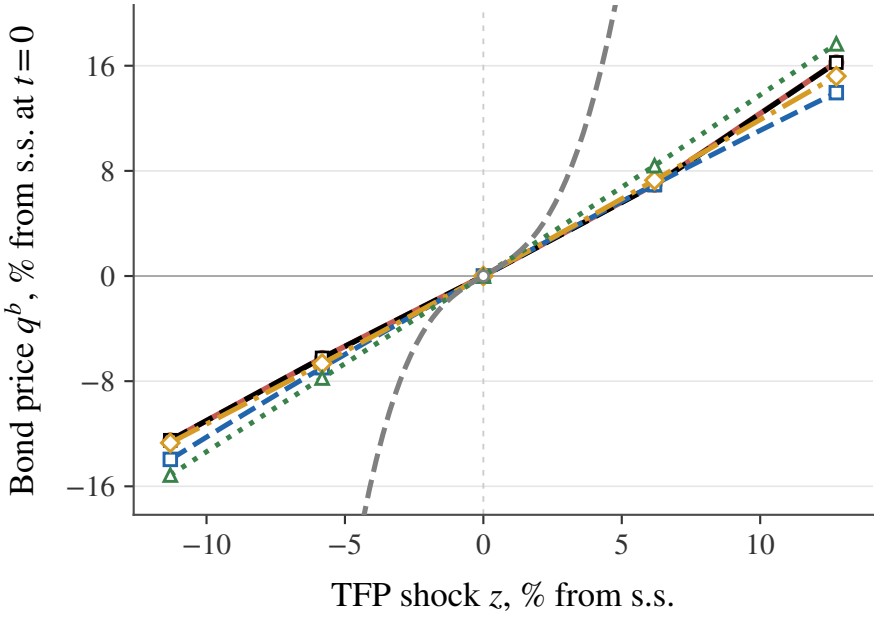
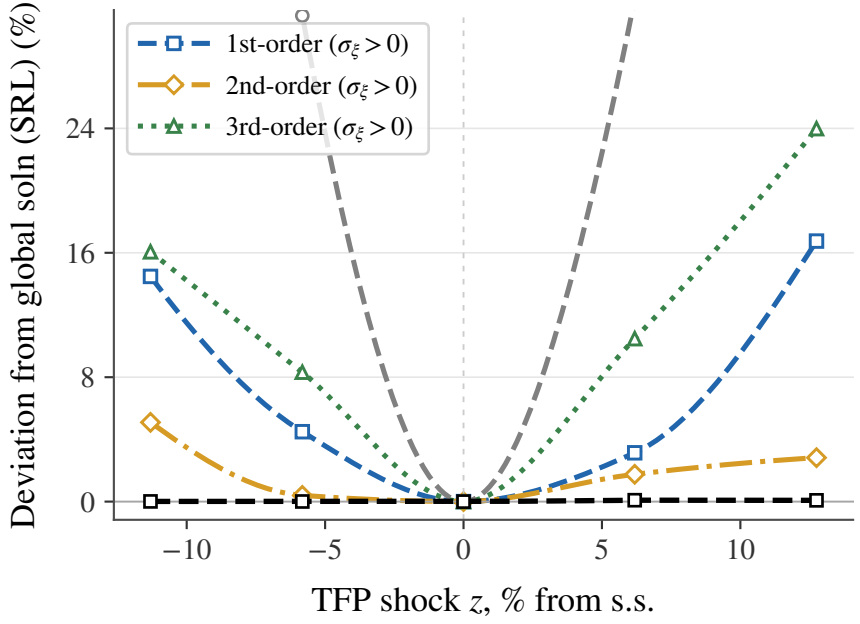
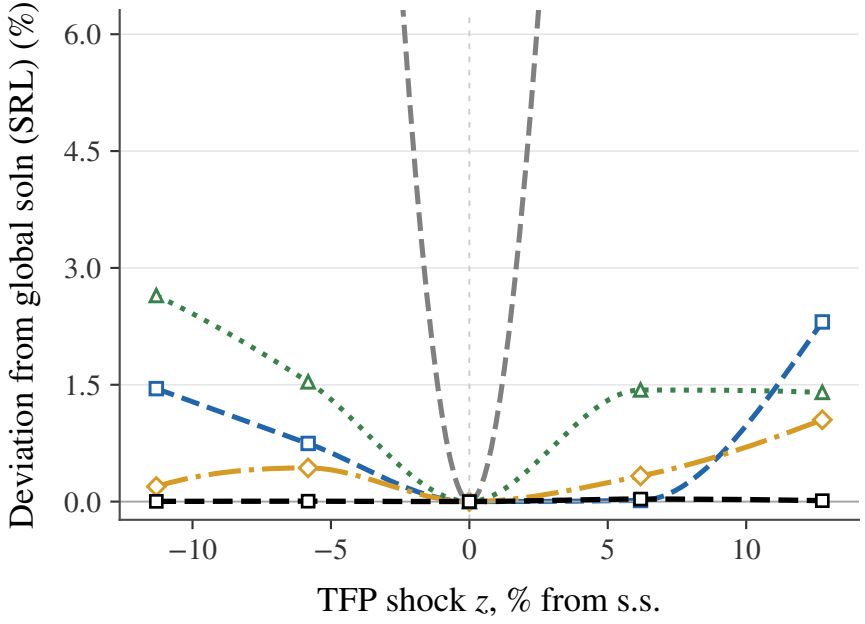

SRL($\sigma_\xi > 0$)
SRL($\sigma_\xi = 0$)
1st-order ($\sigma_\xi > 0$)
2nd-order ($\sigma_\xi > 0$)
3rd-order ($\sigma_\xi > 0$)
3rd-order ($\sigma_\xi = 0$)
Equity price q^e, % from s.s. at $t = 0$
80
40
0
−40
−10
−5
0
5
10
TFP shock z, % from s.s.


Bond price q^b, % from s.s. at $t = 0$
16
8
0
−8
−16
−10
−5
0
5
10
TFP shock z, % from s.s.


1st-order ($\sigma_\xi > 0$)
2nd-order ($\sigma_\xi > 0$)
3rd-order ($\sigma_\xi > 0$)
Deviation from global soln (SRL) (%)
24
16
8
0
−10
−5
0
5
10
TFP shock z, % from s.s.


Deviation from global soln (SRL) (%)
6.0
4.5
3.0
1.5
0.0
−10
−5
0
5
10
TFP shock z, % from s.s.